

more to do with the investors than with the categories.

The greatest advantage to investing in stocks, to one who accepts the uncertainties, is the extraordinary reward for being right. This is borne out in the mutual fund returns calculated by the Johnson Chart Service of Buffalo, New York. There's a very interesting correlation here: the "riskier" the fund, the better the payoff. If you'd put \$10,000 into the average bond fund in 1963, fifteen years later you'd come out with \$31,338. The same \$10,000 in a balanced fund (stocks and bonds) would have produced \$44,343; in a growth and income fund (all stocks), \$53,157; and in an aggressive growth fund (also all stocks), \$76,556.

Clearly the stock market has been a gamble worth taking—as long as you know how to play the game. And as long as you own stocks, new cards keep turning up. Now that I think of it, investing in stocks isn't really like playing a seven-card stud-poker hand. It's more like playing a 70-card stud-poker hand, or if you own ten stocks, it's like playing ten 70-card hands at once.